Polymarket US

QCX LLC d/b/a Polymarket US

<u>VIA CFTC PORTAL</u>

April 7, 2026

Mr. Christopher J. Kirkpatrick Office
of the Secretariat
Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street NW
Washington, DC 20581

Re: QCX LLC – Certification Pursuant to CFTC Regulation 40.6(a): Amended Market Liquidity Incentive Program

Dear Mr. Kirkpatrick:

QCX LLC d/b/a Polymarket US ("Polymarket US" or the "Exchange"), a designated contract market ("DCM") registered with the Commodity Futures Trading Commission (the "Commission" or "CFTC"), hereby files this notice pursuant to CFTC Regulation 40.6(a). This filing notifies the Commission of the amendment of a Market Liquidity Incentive Program (the "Program"). The Terms & Conditions of the Program, which have not changed since the initial filing, are set forth in Appendix A. A complete description of the Program is included and segregated as Appendix B, for which the Exchange seeks confidential treatment. The revisions amend the notice timeline for Program modifications and termination to align with the Commodity Exchange Act, as amended. The Program will be effective on April 21, 2026.

The Program is designed to increase liquidity on the central limit order book by rewarding participants for providing resting liquidity, as measured by periodic snapshots of the order book. The Program rewards the presence and quality of resting orders, thereby incentivizing participants to maintain competitive quotes even in periods of low trading activity. Rewards are allocated pro-rata based on a scoring methodology that favors quotes closer to the market reference price and rewards larger displayed size.

This Program is being adopted pursuant to and in accordance with the Exchange's Rulebook 3.15 (Incentive Programs), which authorizes the Exchange to designate Participants as Incentive Program Participants who may receive benefits in return for assuming certain obligations. The Program is being implemented to increase market depth, tighten quoted spreads, and improve liquidity on Polymarket US, consistent with Core Principle 2 (Compliance with Rules), Core Principle 3 (Contracts Not Readily Subject to Manipulation), Core Principle 4 (Prevention of Market Disruption), Core Principle 7 (Availability of General Information), Core Principle 9 (Execution of Transactions), and Core Principle 12 (Protection of Markets and Market Participants). The effective terms of the Program will be posted and publicly available on the Exchange's website.

The Exchange certifies that the Program complies with the CEA, CFTC regulations, and the Core Principles. The Program is designed to promote fair and orderly markets, is not designed to permit unfair discrimination among market participants, and does not impact order execution priority or otherwise give participants any execution preference or advantage. In addition, the Exchange's Control Desk in conjunction with the National Futures Association ("NFA") as the Exchange's Regulatory Service Provider, actively monitors for trading abuses and will take appropriate action against any Program Participant engaging in market abuses. Trading activity that violates the Exchange Rulebook will be disqualified from awards under the Program. The Exchange is not aware of any substantive opposing views to the Program. The Exchange certifies that, concurrent with this submission, a redacted version of the Program was posted on Polymarket US's website, and is accessible at: www.polymarketexchange.com. Please direct any questions regarding this submission to Dirk Scheepers, Deputy Chief Compliance Officer, QCX LLC (dirk.scheepers@qcex.com).

Sincerely,

Dirk Scheepers
Deputy Chief Compliance Officer
QCX LLC
Email: dirk.scheepers@qcex.com

Attachments:

- Appendix A: Amended Market Liquidity Incentive Program
- Appendix B: Amended Market Liquidity Incentive Program (Confidential)
- Appendix C: FOIA Confidential Treatment Request

Appendix A: Terms and Conditions
Amended Market Liquidity Incentive Program

1. Purpose

The purpose of the Amended Market Liquidity Incentive Program (the "Program") is to increase liquidity on QCX LLC d/b/a Polymarket US ("Polymarket US" or the "Exchange") by rewarding Participants for providing high-quality resting liquidity. Unlike volume-based incentives which reward executed trades, this Program rewards the presence and quality of resting orders, incentivizing Participants to maintain competitive quotes even during periods of low trading activity. The scoring methodology favors quotes closer to the market reference price and rewards larger displayed size, ensuring that incentive payments flow to Participants providing the most useful liquidity.

2. Eligibility

This Program applies to all Eligible Participants. "Eligible Participants" are Participants who are in good standing, meet any other eligibility criteria as Polymarket US may implement in its sole discretion, provided such eligibility criteria shall be posted publicly on the Exchange Website ("the Website"). There is no limit to the number of Eligible Participants in the Program. All Eligible Participants will be automatically enrolled for each Time Period.

3. Effective Dates

The term of the Program will begin on the effective date of this Notice, which is 10 business days following its certification to the Commodity Futures Trading Commission (the "CFTC"), and will continue through the date on which Polymarket US determines to modify, extend, or terminate the program. The Program may apply to some, or all Polymarket Contracts as designated by Polymarket US.

4. Requirements

During the Program, Polymarket US will identify and publish on the Website the Contracts included in the Program, the applicable Time Periods for each Contract, and the total reward amount per Time Period. The Exchange will take periodic snapshots of the order book and score each Participant's resting orders based on their size and proximity to the reference price. Rewards are allocated pro-rata based on each Participant's share of total liquidity scores. Polymarket US may define distinct Time Periods (e.g., Pre-Event, Event-Day Pre-Event, and Mid-Event) with different reward amounts and scoring parameters for each, as published on the Website.

5. Terms and Conditions

All Eligible Participants will automatically participate in the Program. Polymarket US is the sole arbiter of the Program, and any dispute will be resolved by Polymarket US in its sole discretion. All modifications will be made prospectively and, where required, will be submitted to the CFTC pursuant to Part 40. Polymarket US may modify the Program, and/or amend these Terms and Conditions at any time. In the event the Program or these Terms and Conditions are amended, Polymarket US will communicate these changes in writing to all Eligible Participants by publishing the updated Terms and Conditions on the Website. Polymarket US reserves the right to cancel or withdraw the Program if it suspects abuse, fraud, or violations of applicable law or the Exchange or Polymarket Clearing Rulebooks with all Participants involved subject to review by the Polymarket US's compliance department. Should Eligible Participants fail to comply with any provision of the Polymarket US or Polymarket Clearing Rulebooks, as determined by Polymarket US's compliance department, they may, in Polymarket US' sole discretion, be excluded from eligibility, or have their participation in the Program removed.

6. Definitions

- "Time Period" means a defined period within a Contract's lifecycle during which specific parameters are applied to determine incentive rewards.
- "Pre-Event" means the period from Contract listing through the day before the relevant event.
- "Event-Day Pre-Event" means period from the start of the event day through the start of the event.
- "Mid-Event" means the period from the start of the event through settlement.